Preliminary assessment of facts

Type of allegation - Possible Financial statement fraud

Company Scenario - The Management of Revolution IT Consulting & Services Ltd., an IT Consulting & Service company is suspected of booking fictitious sales to defraud investors during pre-IPO period.

Objective of Data Analysis - To identify fraudulent records if any, through data analysis

Pre-analysis observations which are to be considered for data analysis

- The date of IPO was 1st April 2022.
- The beginning date of forensic investigation was on 15th April 2022. So for comparison this date is to be considered wherever required.
- For purposes of this simulated case, five customer entities have been identified as promoter-linked through preliminary OSINT. Their relationship with the company and the adequacy of the related-party disclosures are considered as part of the subsequent analysis.

Customer ID	Party Name
C236	Mint IT Pvt Ltd
C237	Forest Green IT Ltd
C238	Chartreuse Software Pvt Ltd
C239	Amber IT Pvt Ltd
C240	Mustard IT Ltd

- The limits for creating journal entries are:
    - Below 2 Lakhs – Senior Executives
    - 2 to 5 Lakhs – Assistant Managers
    - 5 to 10 Lakhs – Deputy Managers
    - 10 Lakhs to 45 Lakhs – Senior Managers
    - 45 Lakhs and above – Chief Manager
- The approving persons are persons in higher authority to the creator. The system has standard configuration made for ensuring the same.
- Transactions more than 50 lakhs require board approval.
- The working weekdays are identified as Monday to Saturday and business hours are 10.00 AM to 6.00 PM.

- The policy of company states that bills are raised only on completion. The process of billing is in-built in the accounting software and the invoices are automatically raised when transactions are posted.

Possible allegations – Hypothesis

- There might be "non-existent sales to the related parties" (including those which were undisclosed) by collusion with top management to show higher revenue during pre and post-IPO periods.
- The top management might collude to perform a carefully organized scheme with "bogus parties" to showcase higher earnings during pre and post-IPO periods.
- The senior management personnel might perform a "fraudulent scheme unnoticed by board/promoters" in-order to increase share prices/achieve targets which might for the purpose for getting more ESOPs allocated or selling their ESOP shares at higher price after IPO.

Initial Procedures before data analysis

Data Profiling

- The given data contains information on services rendered to customers, Customer Master data, Tracking sheets for debtors and contract performance, employee access master, ESOP details. These are for a period of two years before IPO date.

Data Preparation

- The unwanted top rows and bottom rows were removed
- The dates are changed to date formats wherever required

Data Analysis Plan

<u>The techniques which are planned to used are:</u>

1- Duplication testing for invoices through conditional formatting in all possible fields
2- Creator/Approval levels testing to check whether any override by higher positional employees.
3- Conducting a rule-based temporal analysis to screen transaction timings.
4- Trend analysis of revenue booked
5- Pre-IPO Revenue-Window Analysis and Near-Threshold Analysis (here 01.04.2022). 1 year prior to IPO is prioritised as it contains more risk of fraud.

6- Customer based spread analysis and related party analysis
7- Contract Track sheet analysis.
8- Receivable outstanding analysis
9- ESOP related persons screening